

was a good business was *return on tangible capital*. In the book, I used an example of Jason's Gum Shop, which costs \$400,000 to set up each store including inventory, displays, and other costs, and every year that store throws off \$200,000 in profits, which is a 50 percent return on capital. Then I compared it to another business called Just Broccoli, which also cost \$400,000 to open a new store, but every year that store throws off only \$10,000 in profit, or a 2.5 percent return on capital. Clearly a business that can return 50 percent on capital is better than a business that can return only 2.5 percent on capital. Another way to look at it is that every business needs fixed assets and working capital to be in business, and the relevant question is *How efficiently does it turn its fixed assets and working capital into profits?* So the second metric we used in our test was return on tangible capital.

In his book The Little Book That Beats the Market, Greenblatt provided the following definition and explanation of return on capital:

Return on capital was measured by calculating the ratio of pretax operating earnings (EBIT) to tangible capital employed (net working capital + net fixed assets). This ratio was used rather than the more commonly used ratios of return on equity (ROE, earnings/equity) or return on assets (ROA, earnings/assets) for several reasons.

EBIT (earnings before interest and taxes) was used in place of reported earnings because companies operate with different levels of debt and different tax rates. Using operating earnings before interest and taxes, or EBIT, allowed us to view and compare the operating earnings of different companies without the distortions arising from differences in tax rates and debt levels. For each company, it was then possible to compare actual earnings from operations (EBIT) to the cost of the assets used to produce those earnings (tangible capital employed).

Net working capital + net fixed assets (or tangible capital employed) was used in place of total assets (used in an ROA calculation) or equity (used in an ROE calculation). The idea here was to figure out how much capital is actually needed to conduct the company's business. Net working capital was used because the company has to fund its receivables and inventory (excess cash not needed to conduct the business was excluded from this calculation) but does not have to lay